NIGERIA ENERGY SECTOR FUND

Financial Statements

31st March 2025

2025



Manager:

SCM Capital Asset Mgt Limited

19th Floor NGX Building 2/4 Customs Street Marina, Lagos

TABLE OF **CONTENTS**

Corporate Information	2
Trustee's Report	3
Statement Of Fund Manager's Responsibility	5
Fund Manager's Report	6
Auditor's Report	18
Statement Of Financial Position	20
Statement Of Profit Or Loss And Other Comprehensive Income	21
Statement Of Changes In Equity	22
Statement Of Cash Flows	23
Notes To The Financial Statements	24
Five Year Financial Summary	34

CORPORATE INFORMATION
For The Year Ended 31st March 2025

Country of incorporation and domicile	Nigeria
Date of Incorporation	June 8, 1999
Nature of business and principal activities	"The aim of Nigeria Energy Sector Fund is to bridge the funding gap in the energy sector of the Nigerian economy through mobilization of investible funds from individuals and corporate investors, in Nigeria and foreign lands ."
Trustee to the Fund	United Capital Trustees Limited (formerly UBA Trustees Limited) Afriland Towers (3rd, 4th & 5th Floors) 97/105 Broad Street, Lagos
Fund Manager	SCM Capital Asset Management Limited 19th Floor NGX Building 2/4 Customs Street Marina, Lagos
Registrar	Pace Registrars Limited 8th floor, Knight Frank & Rutley House 24, Campbell Street, Lagos
Custodian	UBA Global Services Ltd UBA House 51 Marina Lagos
Directors of Fund Manager Mallam Garuba Imam Gaventa Otono Alhassan Gwarzo Orisakwe Chinedu Omololu Ajediran	 Chairman Director Director Director Director (Managing)
Registered Office of Fund Manager	19th Floor NGX Building 2/4 Customs Street Marina, Lagos
Banker	United Bank for Africa Plc
Auditor	Emeka Ifezulike & Co. (Chartered Accountants) Plot 40B, Chris Maduike Drive, Lekki Pennisula Scheme 1, Lagos

Trustees report for the year ended 31 March 2025

The Trustees present their annual report on the affairs of N igeria Energy Sector Fund ("the Fund') together with the financial statements and the auditors' report for the year ended 31 March 202 5.

Principal Activity and Business Review:

The Nigeria Energy Sector Fund ("the Fund') was established on June 8, 1999. Nigeria Energy Sector Fund is a closed-end investment vehicle constituted under a Trust Deed. The Fund was created by Energy Sector Fund to bridge the funding gap in the energy sector of the Nigerian economy through mobilizing investible funds from individuals, and corporate investors, in Nigeria and foreign lands. The Fund is a closed-ended mutual fund established by the issue of units of holdings to the investing public to pool the funds and invest it in approved portfolios.

Operating Results

	2025 ₦'000	2024 ₦'000
Profit for the year	381,796	305,437

The Fund's performance for the year ended 31st March 2025 was commendable, The Fund's Profit for the year was ₦81,796,000 compared with ₦305,437,000 recorded in 2024.

Administration of the Scheme

The Administration of the Fund is guided by the provisions of the Investment and Securities Act (2007) and the Trust Deed which the Fund Manager has made concerted efforts to abide with. Currently, the asset allocation is still in line with the Trust Dee d.

BY ORDER OF THE TRUSTEES
United Capital Trustees Limited
3rd&4th Floor, Afriland Towers
95/105 Broad Street, Lagos.



Michael Abiodun Thomas
Managing Director
FRC/2023/PRO/DIR/003/313031

Responsibilities of the Trustee:

The Trustee's responsibilities to the Fund are as follows:

1. To retain in its possession or in the possession of such third par es as it may, with the consent of the Manager appoint, on a safe custody basis, all the investments and documents of title or value connected therewith.

2. At all times to act with prudence and honesty in relation to all investments and documents of title or value kept in its custody.

3. To forward to the Manager without delay all notices of meetings, reports and circulars received by it or its nominees as holders of any investment.

4. To jointly issue (with the Fun d Manager) certificates evidencing ownership of units in the Fund.

5. To demand from the Manager a statement of all issues and sale of Units.

6. To grant its consents to the appointment of the Audi tors for the Fund.

7. To make the Trust Deed available for inspection by the Unit holders during normal business hours at its head office.

8. To consider and grant approval to all adver tisements, circulars or other documents of that nature containing any statement with reference to the offer price of the Units or yield therefrom or containing an invitation to buy Units issued by the Manager.

9. To convene General Meetings of the Unitholders of the Fund and/or to consent to the Manager convening such meetings.

10. To nominate the Chairman for every General Meeting of the Fund.

11. To approve the form of Proxy used for the meetings

STATEMENT OF FUND MANAGER'S RESPONSIBILITY IN RELATIONTO THE FINANCIAL STATEMENTS

For The Year Ended 31st March 2025

The Fund Manager accepts the responsibility for the preparation of the annual financial statement set out on pages 20 to 36 that give a true and fair view in accordance with the International financial Reporting Standards and in the manner required by the provisions of the Companies and Allied Matters Act of Nigeria CAP C20 LFN 2004 as amended.

The Fund Manager further accepts responsibility for maintaining adequate accounting records as required by the Companies and Allied Matters Act CAP C20 LFN 2004 as amended and for such internal controls as the Fund Manager determines are necessary to enable the preparation of financial Statements that are free from material mis-statements whether due to error or fraud.

The Fund Manager has made an assessment of the funds ability to continue as a going - concern and has no reason to believe that the fund will not remain a going concern in the years ahead.

Mr Omololu Ajediran
Fund Manager
FRC/2021/003/000000/22501

20th June, 2025

Mr Gaventa Otono
Director
FRC/2013/IODN00000005194

20th June, 2025

STUTTERING WALK TO RECOVERY AMID EXISTENTIAL THREATS

GLOBAL ECONOMIC REVIEW

2024 Global Economy in Retrospect

2024 was a year marked by significant global events across political, environmental, technological, and cultural spheres.

These events underscored a year of geopolitical competition, humanitarian crises, and environmental challenges, with moments of hope in cultural and technological advancements. The collapse of regimes, electoral shifts, and climate disasters reshaped international relations, highlighting the need for diplomacy and multilateral cooperation. As noted by the UN Foundation, 2024 showed both the potential for diplomatic Pact for the future led by Trump's presidency and the failures of global systems to maintain peace.

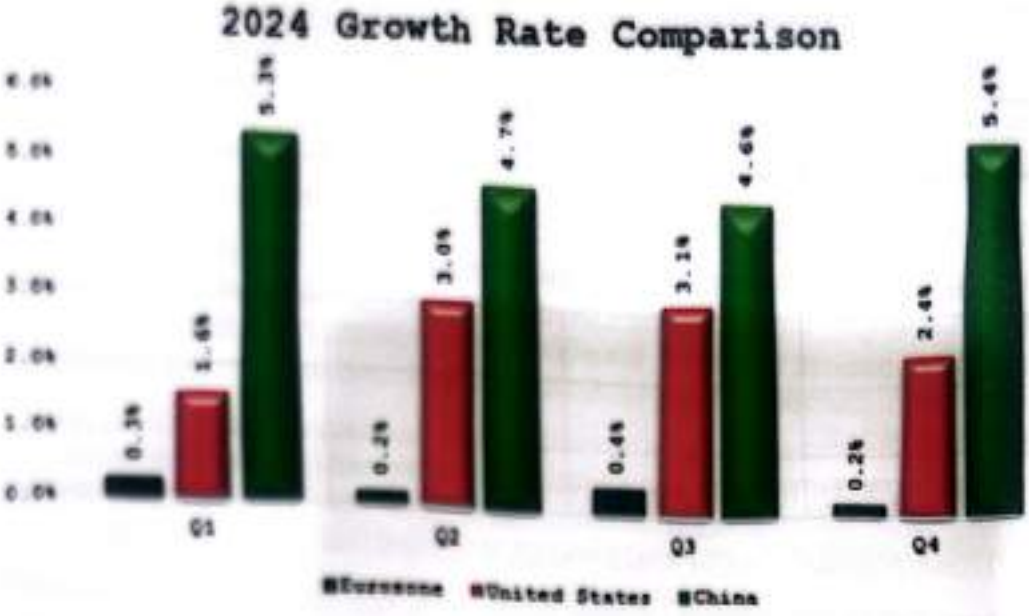
The global economic context was modestly favorable, following several years characterized by overlapping negative shocks. Inflation appeared to be moderating without a substantial slowdown in key economies, and monetary policy easing was widespread.

Global trade in goods and services rebounded in 2024, reaching a record high of $33 trillion, reflecting a 3.3% to 3.7% growth compared to 2023, according to multiple reports from the United Nations Conference on Trade and Development (UNCTAD). Growth in goods trade accelerated in the second half of 2024, following a weaker-than-expected recovery in the first half. The pickup was partly driven by precautionary inventory buildup in anticipation of possible trade dislocations.

Global headline inflation continued to recede last year amid easing energy and food prices, healing supply chains, and the lagging effects of tight monetary policy stances. The average global inflation rate in 2024 was 5.8%, a decline from 6.8% in 2023, reflecting downward price pressures due to tighter monetary policies, falling energy costs, and improved food supply.

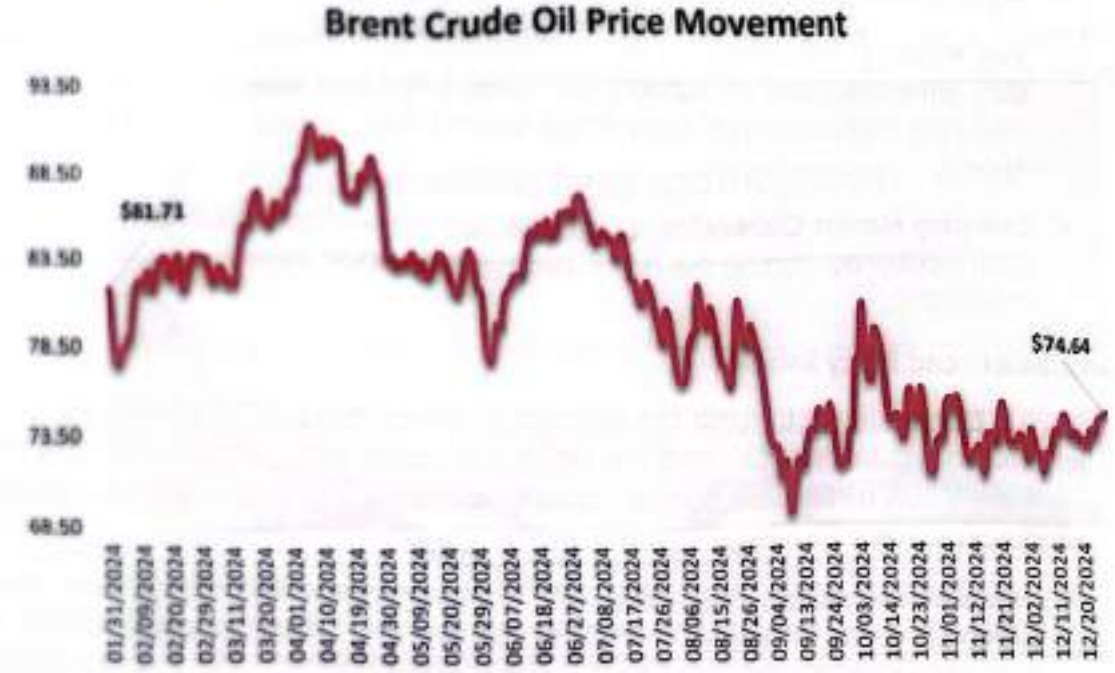
On growth, advanced economies expanded by an estimated 1.7% in 2024, as steady U.S. growth and a modest pickup in the euro area were accompanied by a sharp slowdown in Japan. In the euro area, growth remained feeble last year owing to weak consumption, business investment, and industrial activity, with the latter partly reflecting the dampening effects of high energy prices on export competitiveness and consumption.

Growth in China declined to 5.0% in 2024, down from 5.37% in the preceding year, marginally stronger than projected but the slowest pace in over three decades excluding pandemic-affected years. Activity moderated in the second half of the year, dampened by further falls in real estate investment and slower consumption growth amid weak consumer confidence.



Source: Trading Economics, 3CM Capital Research

The international crude oil market in 2024 experienced significant volatility, influenced by a mix of geopolitical tensions, supply-demand dynamics, and macroeconomic factors. Brent crude oil averaged $81.13 per barrel in 2024, slightly below the 2023 average of $82pbl, reflecting a relatively stable but constrained market. Prices fluctuated between $70pbl and $93pbl throughout the year, with a peak of $93pbl on April 12 amid fears of escalating Iran-Israel tensions. By December, prices dropped to $73.86pbl, the lowest monthly average in 24 months.



Source: Investing.com, 3CM Capital Research

Robust Equity Market Performance

The global financial markets in 2024 were shaped by a dynamic interplay of supportive tailwinds and disruptive shocks, driven by macroeconomic shifts, geopolitical events, and technological advancements.

Below are the key highlights of global financial market performance:

- **Global Equities:** The MSCI World Index gained approximately 18%, supported by U.S. strength, though Europe's Stoxx 600 lagged with single digit gains of 5.9% due to economic slowdown. Emerging markets (MSCI EM Index) returned 7%, with India outperforming (+20%) and China underperforming (Shanghai Composite flat).
- **U.S. Equity Rally:** The S&P 500 surged 24% in 2024, hitting record highs over 50 times, while the Nasdaq soared over 28%, driven by tech giants like Nvidia (+170%), Alphabet (+35%), Meta (+65%), and Tesla (+62%).
- **Driver:** Disinflation (global inflation fell to 5.9% from 6.8%) and U.S. Federal Reserve rate cuts (100 basis points) fueled optimism for a global "soft landing," boosting risk assets while AI-driven tech enthusiasm further propelled markets.
- The U.S. market's dominance, particularly in AI and tech, accounted for a significant share of global equity gains, with Nvidia briefly becoming the world's most valuable company.

Currency Market Volatility

- **U.S. Dollar Strength:** The U.S. dollar strengthened significantly, with the DXY index up ~8% by year-end, driven by U.S. economic outperformance and Trump's re-election, which raised expectations of inflationary tariffs.
- **Yen Volatility:** The Japanese yen appreciated sharply (from ~150 to ~120 vs. USD) after the Bank of Japan's rate hikes (0–0.1% in March, 0.25% in July), triggering a massive yen carry trade unwind that rocked global markets in August.
- **Emerging Market Currencies:** Currencies like the Mexican peso and Chinese yuan weakened against the dollar, pressured by trade tensions and U.S. policy uncertainty.

Geopolitical and Policy Shocks

- **U.S. Election Impact:** Trump's re-election on November 5, 2024, sparked a late-year rally in U.S. equities and the dollar but raised fears of tariffs (10–20% on imports, 60% on Chinese goods), causing volatility in trade-sensitive sectors like autos and tech.
- **Geopolitical Tensions:** Ongoing Russia-Ukraine and Israel-Hamas conflicts, plus Sudan's civil war, disrupted commodity markets, with oil prices spiking briefly in April and October. Red Sea shipping disruptions affected 15% of global trade but had limited lasting impact.

Overall, the U.S. economic resilience, disinflation, Fed rate cuts, AI-driven tech gains, and emerging market bond rallies drove strong equity and debt market performance, particularly in the U.S. and selected emerging markets. Global markets posted solid gains in 2024, with U.S. equities and emerging market bonds leading, but volatility from policy shifts, geopolitical risks, and weak Chinese demand underscored persistent uncertainties.

The global economy in the first quarter of 2025 faced a complex and uneven landscape, characterized by a slowdown in growth, heightened policy uncertainty, and escalating trade tensions. The US tariffs led to a surge in imports as businesses front-loaded purchases, distorting GDP calculations.

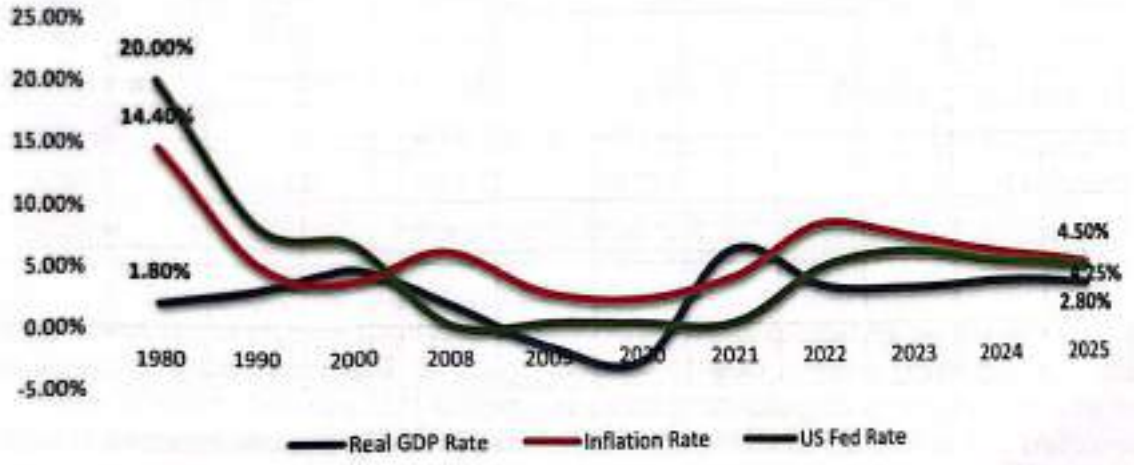
United States of America's Real GDP contracted at an annualized rate of −0.3% in Q1 (vs. +2.4% in Q4) due to surging imports and lower government spending, despite upticks in consumer spending, investment, and exports. However, China's economy expanded by 5.4%, exceeding expectations as consumption, trade and investment added positive impact.

2025 OUTLOOK

Global growth could be weaker than expected, averaging 2.8% (as against 3.1% in 2024) hammered by elevated policy uncertainty and adverse trade policy shifts. A sustained increase in global policy uncertainty could notably hurt global and EMDE growth. The decline in global headline inflation has not been smooth, with bouts of reemerging inflationary pressures interrupting progress. Though food and energy prices generally stabilized or declined last year, core inflation remained elevated, largely due to services prices.

The outlook for major economies, notably the United States and China, is subject to additional downside risks beyond those that might arise from escalating trade tensions.

Macroeconomic Trend and Projection



Source: World Bank Report, US Fed Release and SCM Capital Research

The subdued growth outlook and multiple headwinds underscore the need for decisive policy action. Global policy efforts are required to safeguard trade, address debt vulnerabilities, and combat climate change. Policy makers need to resolutely pursue price stability, as well as boost tax revenues and rationalize expenditures to achieve fiscal sustainability and finance critical infrastructure.

Crude oil price outlook is bearish, with Brent and WTI prices expected to decline from 2024 levels due to rising global oil inventories, slower demand growth, and increased non-OPEC+ production as OPEC+ spare capacity and oversupply concerns dominate. Short-term spikes are possible with geopolitical disruptions, but the overall trend is downward, with risks tilted toward lower prices in Q4 2025. We expect the price to average $65pbl.

DOMESTIC ECONOMIC REVIEW

In 2024, Nigeria's economy grew modestly by 3.4%, driven by oil sector recovery (5.54%) and non-oil sectors like financial services and telecoms. Major reforms — fuel subsidy removal, Naira devaluation, and monetary tightening — aimed to stabilize the economy but fueled inflation (34.6%) necessitated cost-of-living crisis, sparking protests.

The Central Bank of Nigeria (CBN) floated the Naira in June 2023, with effects continuing into 2024. The Naira depreciated by over 70% between October 2023 and October 2024, exacerbating inflation and FX liquidity issues.

key macroeconomic indices below:

NIGERIA's MACROECONOMIC INDICATORS DASHBOARD				
INDICES	31/12/2023	31/12/2024	CHANGE	PROJECTIONS
Inflation Rate (%)	28.92%	34.80%	5.88%	21.00%
Real GDP Growth Rate (%)	2.45%	3.40%	0.95%	4.50%
Gross External Reserves ($'bn)	$32.89bn	$40.88bn	7.99	$38bn
Foreign Trade Balance (N'trn)	N1.89trn	N3.42trn	N1.53trn	NA
Exchange Rate - EFEMS	₦907.11	₦1,538.25	-₦631.14	₦1,600.00
Interest Rate (%)	18.75%	27.50%	8.75	26.50%
Crude Oil Price ($pbl)	$77.04	$74.64	-$2.40	$68.00
Total National Debt (N'trn)	N97.34trn	N144.67trn	(N47.33trn)	N160trn

The reforms aimed at stabilizing the economy and attract investment caused short-term pain, sparking protests due to rising living costs. The World Bank praised the reforms for addressing long-standing issues but noted that positive impacts were not expected until after 2025 as the reforms are expected to gradually improve stability, but deeper structural changes (e.g., tax reforms, energy sector fixes) are needed for inclusive growth.

In Q1'2025, the economy was greeted with rebased inflation data as the National Bureau of Statistics (NBS) reweighed and expanded the VCPI basket to accommodate new products and adjust the base year to a more realistic year, choosing 2024 on the justification that the impacts of the recent economic reforms were evident in 2024. This incidentally lowered the inflation rate to 24.23% y-o-y from the peak of 34.80% in December 2024.

Naira stability was driven by various policies of the CBN as trading was listed on Bloomberg B-Match terminal to encourage transparency, improve visibility, enhance liquidity and eliminate arbitrage.

2025 FGN Budget

President Bola Tinubu signed into law, the 2025 Appropriation Bill, titled the "Budget of Restoration: Securing Peace, Rebuilding Prosperity." With a budget value of ₦54.99 trillion (approximately $36.6 billion), an increase from the initially proposed ₦49.74 trillion and a 57% rise over the 2024 amended budget of ₦35.1 trillion.

The budget aims to sustain economic reforms, address insecurity, and stimulate growth, but its high deficit and reliance on borrowing have raised concerns about fiscal sustainability.

Key budget assumptions are:

- ✓ Crude Oil Production: 2.06mbpd
- ✓ Average Crude Oil price: $75pbl
- ✓ Exchange Rate: ₦1,500/US$1
- ✓ Real GDP Growth Rate: 3.68%
- ✓ Inflation Rate: 15%

The budget prioritizes defense/security (₦4.91 trillion), infrastructure (₦5.99 trillion), education (₦3.52 trillion), and health (₦2.48 trillion) to drive economic recovery and address insecurity. However, its ambitious revenue target (₦41.81 trillion) relies on optimistic oil production (2.06 mbpd) and an ambitious inflation goal of 15%.

Macroeconomic Report

GDP Growth

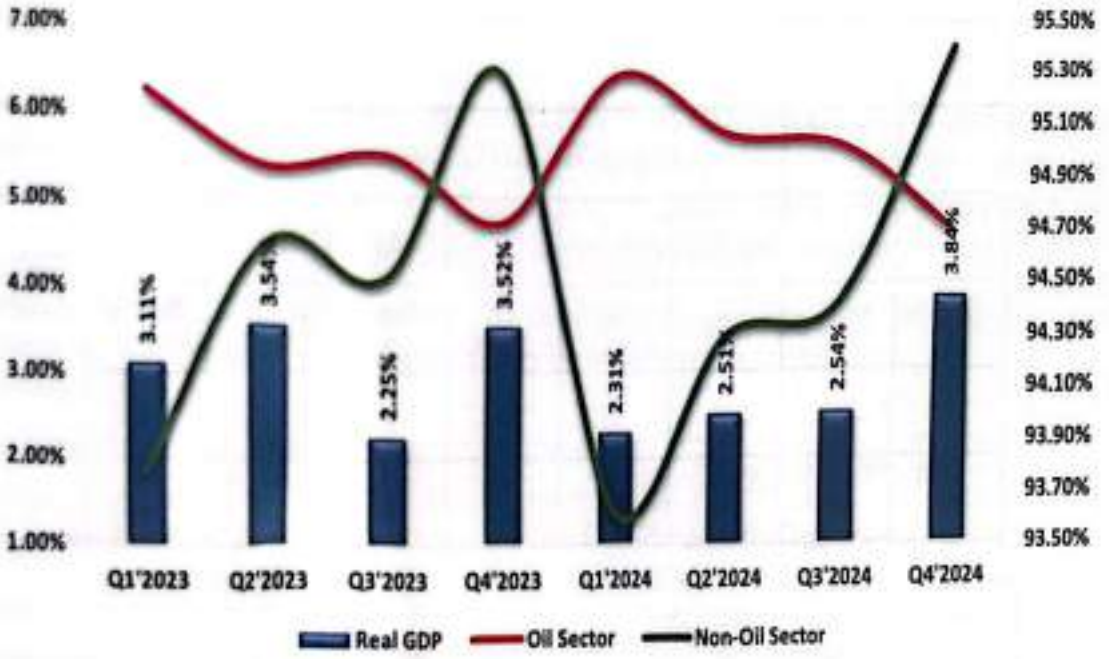
Nigeria's GDP growth rate in 2024 was a key indicator of its economic performance, reflecting both progress and persistent challenges amid bold reforms and global pressures. The economy grew by 3.4% in real terms, an improvement from 2.74% in 2023. This growth rate was driven by a recovery in the oil sector and steady performance in non-oil sectors, particularly services.

The oil sector grew by 5.54% in 2024, a significant rebound from -2.22% in 2023 as Crude oil production rose to 1.5 million barrels per day (mbpd) on average in 2024, up from

1.44 mbpd in 2023, supported by improved security in the Niger Delta and investments in oil infrastructure.

The non-oil sector grew by 3.27% in 2024 (vs. 3.04% in 2023), contributing 94% to GDP. The service sector expanded by 3.8% in Q2, led by financial services (28.8%), ICT (6.25%), and rail transport/pipelines (4.14%). Agriculture growth slowed to 1.4% (against 1.88% in 2023), constrained by insecurity, flooding, and low productivity. Crop production, which accounts for 90% of agricultural GDP, underperformed in the year.

Nigeria's Real GDP Growth Rate



Source: NBS and SCM Capital Research

Nigeria's 2025 real GDP growth is projected at 3.0–3.6% (IMF: 3.0%, AfDB: 3.4%, Fitch: 3.5%, World Bank: 3.6%), with some optimism for up to 4.0%. this will be driven by oil (2.06 mbpd target, Dangote Refinery) and services (4% growth), but constrained by inflation (20.7–26.5%), Naira depreciation, insecurity, and global risks (U.S. tariffs, oil price drops). While reforms bolster fiscal stability, growth remains below the 6% needed for significant poverty reduction.

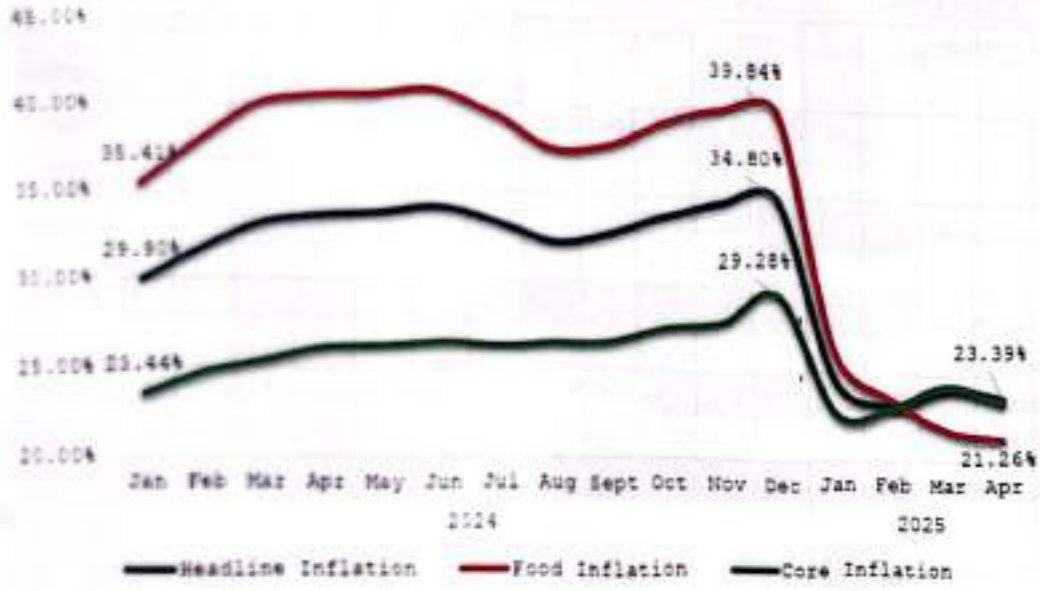
Inflation

Nigeria's inflation in 2025 will be shaped by the lingering effects of 2023–2024 reforms, global pressures, and domestic challenges. Inflation averaged 33% in 2024, with a peak of 34.6% in November, driven by:

- **Fuel Subsidy Removal:** Implemented in May 2023, petrol prices surged from ₦186/liter to ₦671/liter by late 2023, with further increases in 2024 (₦800 – ₦1,180/liter), raising transport and production costs.

- **Naira Depreciation:** The Naira's flotation led to a massive depreciation by October 2024 (around ₦ 1,700/USD), inflating import costs.
- **Food Prices:** Food inflation hit 40% in March 2024, driven by insecurity, flooding, and supply chain disruptions, with staples like rice and maize rising 60–80%.
- **Monetary Policy:** The Central Bank of Nigeria (CBN) raised the Monetary Policy Rate (MPR) by 875bps to 27.50% in 2024, slowing money supply growth but not fully curbing inflation.

Nigeria's Inflation Rate Trend



Source: NBS and SCM Capital Research

The 15% target stated in the budget is widely seen as unachievable, with inflation likely to sustain cost-of-living crisis, limiting GDP growth and increasing misery index. Mitigation hinges on boosting agriculture, stabilizing the Naira, and leveraging the Dangote Refinery, but structural issues pose significant risks.

FINANCIAL MARKET REVIEW

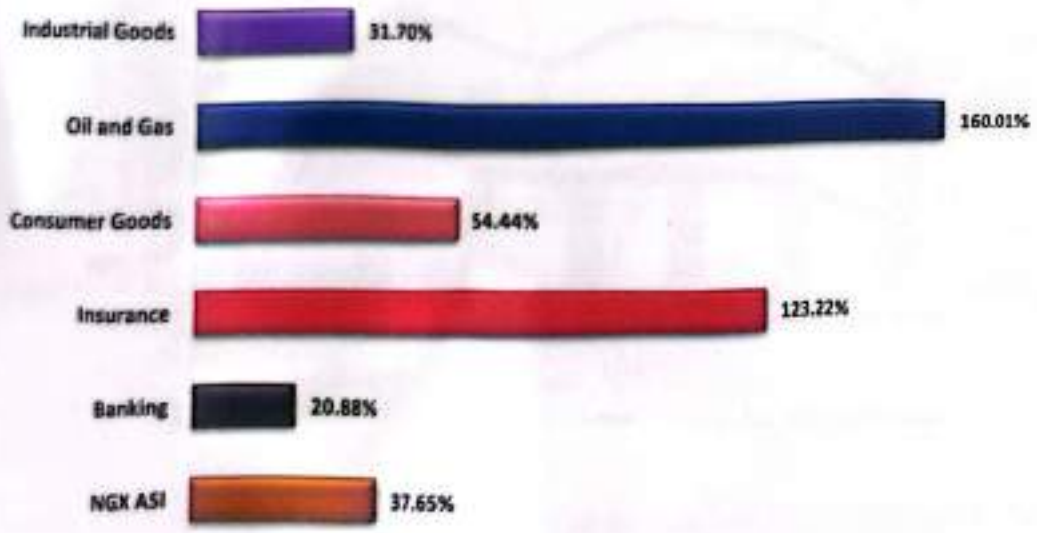
Equity Market

In 2024, the NGX All-Share Index delivered a 37.65% return, rising from 74,773.77 points to 102,926.40 points, with market capitalization growing 53.37% from ₦ 40.918 trillion to ₦ 62.763 trillion. Macroeconomic reforms (Naira flotation, subsidy removal), new listings (e.g., Aradel Holdings), and bank recapitalization fueled growth and increased retail participation, despite challenges like inflation (33%), and delisting.

Key drivers of the performance include:

- **Banks Recapitalization:** CBN announced revised capital requirements in Q1 2024, aimed at strengthening the banks' balance sheet and boosting capacity to drive the anticipated $1 trillion economy.
- **New Listings:** High cap listings like Aradel Holdings alongside some rights issues expanded the market cap. contributed ₦5.84 trillion in 2024.
- **Investor Confidence:** Despite high inflation and Naira volatility, investor confidence bolstered by strong corporate earnings and positive outlook.
- **Foreign Inflows:** FPI rose from 11.48% of transactions in mid-2023 valued at N410.62bn to 15.25% by December 2024 valued at N852.03bn, reflecting growing foreign interest, though net outflows indicated caution due to FX risks.

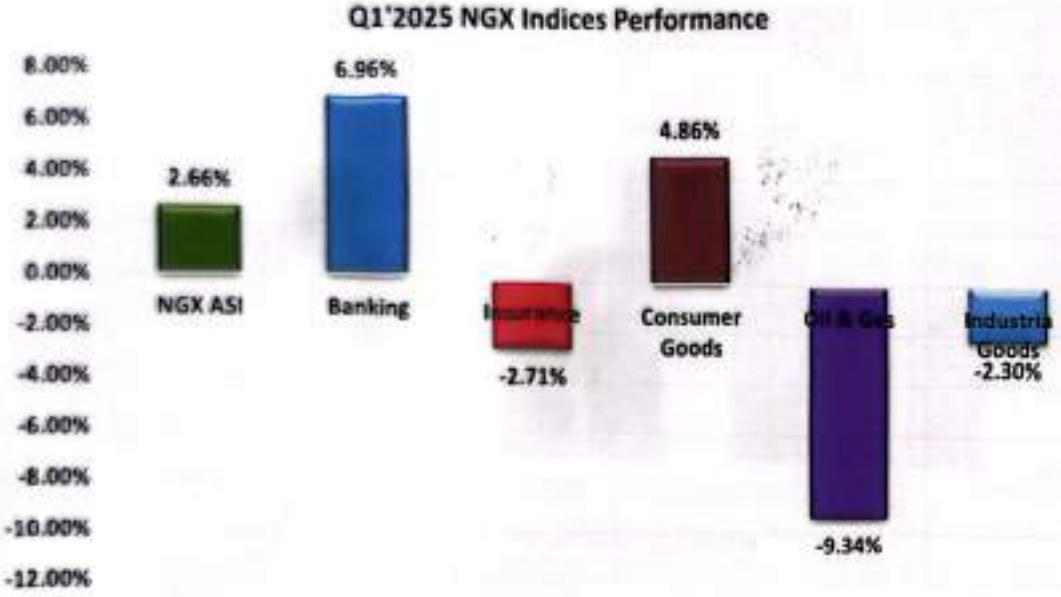
2024 NGX Indices Performance



Source: NGX, SCM Capital Research

News of ministerial approvals for Seplat, Aradel and Oando on the acquisition of Mobil Unlimited, Shell marginal fields, and Agip-Eni respectively bolstered strong momentum in the Oil & Gas sector. The Insurance index advanced by 123.22% in 2024 on late rallies in SUNUASSUR, NEM, AIICO, MANSARD amongst others on the passage of the Insurance Sector Reform Bill by the National Assembly.

The NGX ASI rose by 2.66% in Q1 2025, closing at 105,660.64 points as of March 28. This gain translated into a market cap increase of ₦3.49 trillion, from ₦62.76 trillion at the end of 2024 to ₦66.26 trillion by Q1. Overall, the broad index posted moderate growth, bolstered by FPIs' inflows, favorable policy environment, robust banking recapitalization, and standout gains in select blue-chip stocks.



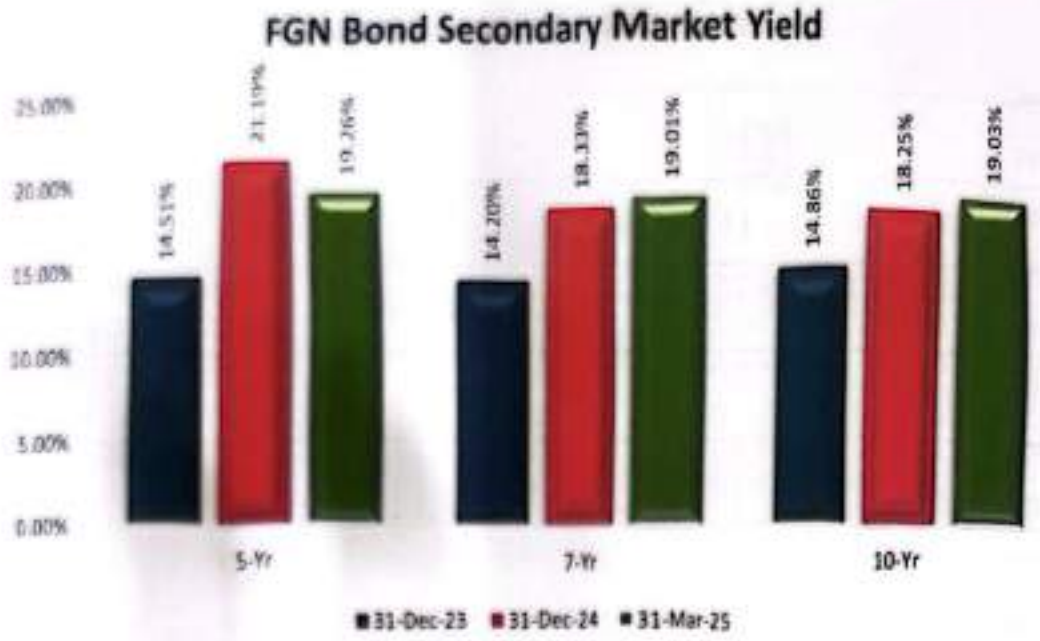
Source: NGX, SCM Capital Research

We expect a bullish stance, driven by earnings growth, resilience and gains from the economic reforms. Potential listings (e.g., NNPC, Dangote Refinery) and insurance sector recapitalization would boost market depth, amid global tariff risks, geopolitical tensions and monetary tightening.

Bond Market

Nigeria's bond market in 2024 delivered strong performance, driven by high yields, macroeconomic reforms, and growing investor confidence, despite challenging macroeconomic headwinds and global uncertainties. The market saw robust demand, particularly for sovereign and domestic dollar-denominated bonds.

The DMO issued ₦ 5.37 trillion in FGN bonds in 2024 to finance the budget deficit, with auctions consistently oversubscribed. At the February 2024 auction, government raised ₦ 2.81 trillion, far exceeding expectations, signaling strong domestic investors' appetite.



Source: FMDQ, SCM Capital Research

In December 2024, Nigeria issued a $2.2 billion Eurobond, oversubscribed with $9 billion in subscriptions, despite a credit rating of B-/B3. Yields were 9.625% for the 6.5-year tranche and 10.375% for the 10-year tranche. The DMO announced a $250 million sovereign green bond for September 2024 to fund climate mitigation and adaptation projects, led by the Ministry of Environment.

FUND PERFORMANCE

Rock the Ride, Mine the Treasure

Nigeria's 2025 economic outlook reflects a mix of cautious optimism and significant challenges, shaped by ongoing reforms, global pressures, and domestic structural issues. The economy is projected to grow modestly, driven by oil production, services, and reforms, but persistent inflation and fiscal constraints threaten upside growth. Amid these macroeconomic dynamics, the Fund was resilient against policy and external shocks, beaming strong fundamentals, stability, asset growth and endearing investor sentiment.

The Fund achieved revenue growth of 30.89% y-o-y to print at N444.58mn as of March 31, 2025, when compared to N339.66mn reported in 2024. This performance puts the Fund at a position amongst its peers, owing to rallies witnessed in Oil & Gas stocks, elevated yields in fixed income instruments and meticulous investment strategies.

The Fund recorded 85.88% Net Profit Margin, closing the year with a PAT of N381.80mn, underscoring the Manager's savvy cost management amid elevated inflationary pressure amid higher energy costs and increasing overheads.

Income Statement Extract (N'mn)



The Fund's EPS for the year was ₦511.83k as compared to the prior year EPS of ₦409.46k, translating to PE ratio of 1.35x of the last traded Fund price of ₦552.20k. This is a commendable performance, hinged on value creation and subscribers' delight.

EPS and Coupon Historical Trend



As we continue to navigate the business environment, our projection favors moderating macroeconomic headwinds that will support growth. We expect a consolidation on the gains of the government reforms, particularly in the oil and gas sector, as the country ramps up production and attracts foreign investors to actively contribute to the growth trajectory.

By Order of the Fund Manager:

.....

Mr. Ajediran Omololu
Fund Manager
FRC/2021/003/00000022501

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF NIGERIA ENERGY SECTOR FUND

OPINION

We have Audited the annual financial statements of NIGERIA ENERGY SECTOR FUND , which comprises the statement of financial position as at 31st March 2025, the statement of profit or loss and other comprehensive income, the statement of changes in equity and statement of cash flow for the year then ended, a summary of significant accounting policies and other explanatory notes.

In our opinion and to the best of our information and according to the explanations given to us, the financial statements give a true and fair view of the state of the financial affairs of the fund as at 31 March 2025 and of the financial performance and cash flows for the year then ended in accordance with the International Financial Reporting Standards, the Companies and Allied Matters Act, the Investment and Securities Act, CAP 5124, LFN 2007 and the rules and regulations of the Securities and Exchange Commission.

BASIS FOR OPINION

We conducted our audit in accordance with the International Standards on Auditing (ISAs) our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statement's section of our report.

We are independent of the fund in accordance with the requirement of the institute of Chartered Accountants of Nigeria Professional Code of Conduct and Guide for Accountants (ICAN CODE) and other independence requirements applicable to performing audits of financial statements in Nigeria. We have fulfilled our other ethical responsibilities in accordance with the ICAN Code and in accordance with other ethical requirements applicable to to performing audits in Nigeria. The ICAN Code is consistent with the International Ethics Standards Board for Accountant's Code of Ethics for Professional Accountants (Parts A and B). We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

FUND MANAGER'S RESPONSIBILITIES FOR THE FINANCIAL STATEMENTS

The Fund Manager is responsible for the presentation of these financial statements in accordance with the investment and securities Act CAP 5124 LFN 2009, the rules and regulations of the Securities and Exchange Commission and the Trust Deed and for such internal controls as the Directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF FINANCIAL STATEMENTS

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors judgement, including the assessment of the risk of material misstatement of the financial statements , whether due to fraud or error. In making those risk assessment, the auditors consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that appropriate in the circumstance, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by a Fund Manager, as well as evaluating the overall presentation of the financial statements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF NIGERIA ENERGY SECTOR FUND

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENT

The Companies and Allied Matters Act CAP C20 LFN 2004 and Banks and Other Financial Institutions Act S24 (1-4) LFN 2004 requires that in carrying out our audit we consider and report to you on the following matters.

We confirm that:

i) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

ii) In our opinion proper books of account have been kept by the fund manager, so far as appears from our examination of those books.

iii)The Fund's statement of financial position and statement of profit or loss and other comprehensive income account are in agreement with the books of account.

iv)The financial statements are prepared on the going concern basis unless it is inapproprite to presume that the company will continue in business.



Mr. Chukwuemeka Ifezulike FCA
for: Emeka Ifezulike & Co.
FRC/2014/ICAN/00000007466

26th June, 2025

STATEMENT OF FINANCIAL POSITION
AS AT 31 MARCH 2025

	NOTE	Mar-25 N'000	Mar-24 N'000
ASSET			
Assets			
Cash	5	3,826	10,868
Financial Assets at Amortised Cost	6	1,669,330	1,517,334
Other Assets	7	13,509	11,502
Equity Investment at fair value through Profit or loss	8	901,606	422,236
TOTAL ASSET		2,588,272	1,961,940
LIABILITIES			
Payables	9	783,807	539,271
TOTAL LIABILITIES		783,807	539,271
EQUITY			
Unit holder's fund	10 a	745,950	745,950
Retained Earnings	10 b	1,058,515	676719
TOTAL EQUITY		1,804,465	1,422,669
TOTAL LIABILITIES AND EQUITY		2,588,272	1,961,940

These Financials Statements were approved by the Fund Manger and Trustee respectively

on 24th June, 2025

.....

Omololu Ajediran
Fund Manager
FRC/2021/003/00000022501

.....

Michael Abiodun Thomas
Trustee
FRC/2023/PRO/DIR/003/313031

The notes on pages 15 to 30 form an integral part of these financial statements

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For The Year Ended 31st March 2025

	Note	Mar-25 N'000	Mar-24 N'000
Trading Income	11	274,279	213,447
Dividend Income	12(b)	25,728	14,607
Interest Income	12(a)	144,572	111,602
Total Revenue		444,579	339,656
Operating Expenses	13	62,783	34,219
Total Expenses		62,783	34,219
Profit/(loss) Before Taxation		381,796	305,437
Taxation			
Profit for the year		381,796	305,437
Other Comprehensive Income			
Gain/(Loss) on Equity instruments at fair value through comprehensive Income		-	-
Total Comprehensive Income for the year		381,796	305,437

STATEMENT OF CHANGES IN EQUITY

For The Year Ended 31st March 2025

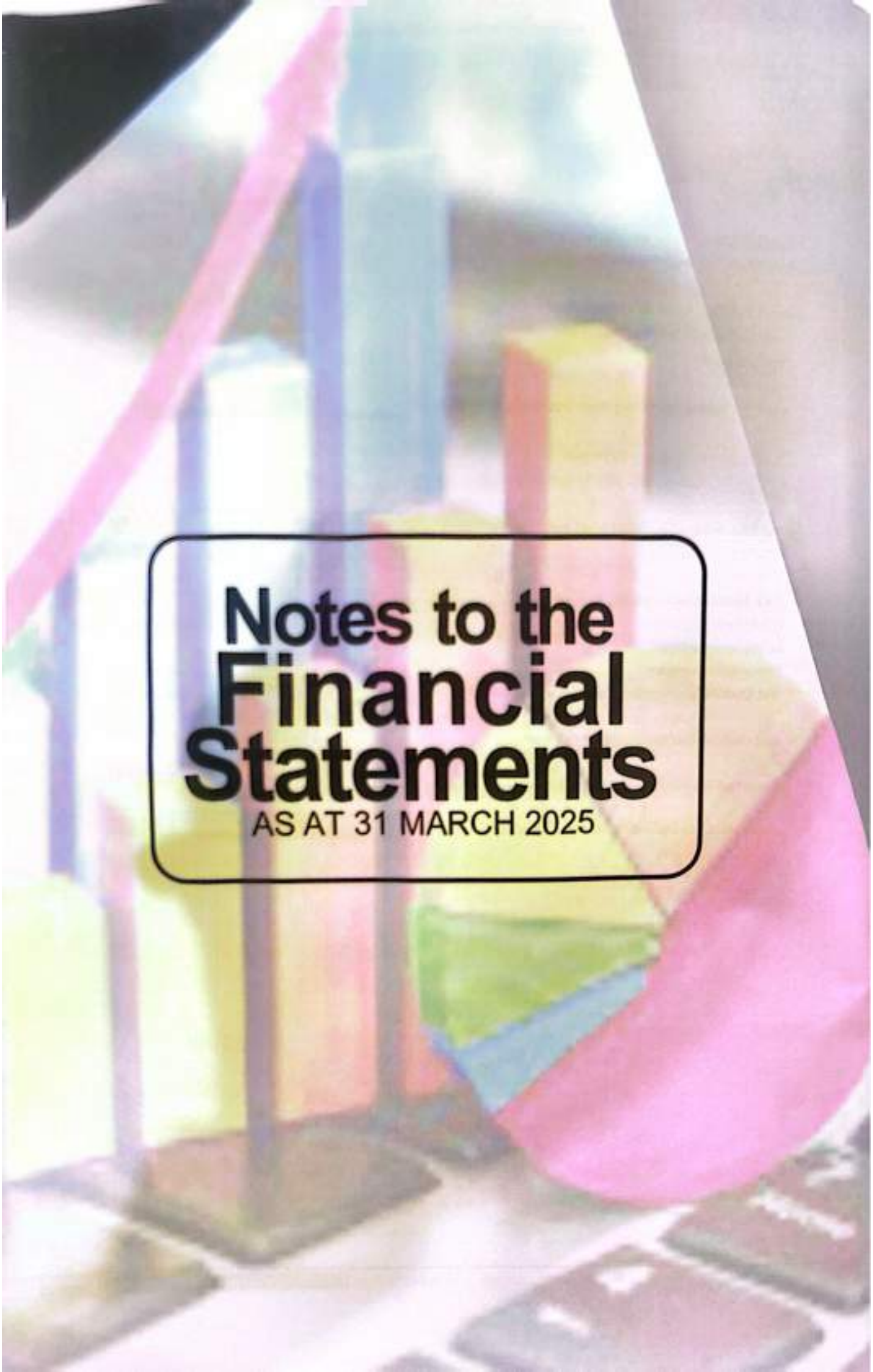
	March 2025		
	UNIT holders' fund	**Retained Earnings**	**Total**
	N'000	N'000	N'000
Balance as at 1 April 2024	745,950	676,719	1,422,669
Profit for the year		381,796	381,796
Dividends paid		-	-
Balance as at 31 March 2025	**745,950**	**1,058,515**	**1,804,465**

	March 2024		
	UNIT holders' fund	**Retained Earnings**	**Total**
	N'000	N'000	N'000
Balance as at 1 April 2023	745,950	465,272	1,211,222
Profit for the year		305,437	305437
Dividends paid		(93,990)	(93,990)
Balance as at 31 March 2024	**745,950**	**676,719**	**1,422,669**

The notes on pages 20 to 36 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS
For The Year Ended 31st March 2025

	Mar-25 N'000	Mar-24 N'000
Operating profit	381,796	305,437
Movements in working capital:		
(Increase)/Decrease in Financial Assets	2,007	9,803
Increase/(Decrease) in payables	244,536	263,223
Dividend paid	-	(93,990)
Tax paid	-	-
Net Cash inflow/(outflow) from Operating Activities	**628,339**	484,473
Cashflow from Investing Activities:		
Net Sale/(Purchase) of Quoted Equities	(479,370)	(120,140)
Net Cash inflow/(outflow) from Investing Activities	**(479,370)**	(120,140)
Cash Flows from Financing Activities		
Funds Redemption	-	-
Funds Subscription	-	-
Dimunition in stock	(23,696)	-
Net Cash inflow/outflow from Financing Activities	**(23,696)**	-
Net cash inflow/ (outflow) for the year	**125,273**	364,333
Cash and Cash Equivalent at beginning of the year	1,547,809	1,183,476
Cash and Cash Equivalent at end of the year	**1,673,082**	**1,547,809**



Notes to the Financial Statements

AS AT 31 MARCH 2025

1. CORPORATE INFORMATION

The Nigeria Energy Sector Fund was incorporated on June 8, 1999, to bridge the funding gap in Nigeria's energy sector through the mobilization of investible funds from individuals and corporate investors in Nigeria and abroad.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies adopted by the company in preparing its financial statements are outlined below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

2.1 GOING CONCERN

These financial statements have been prepared on the going-concern basis. The company has no intention of reducing its business operations. The fund manager believes that the going concern assumption is appropriate due to the sufficient capital adequacy ratio and projected liquidity, based on historical experience that short-term obligations will be refinanced in the normal course of business. Liquidity ratio and continuous evaluation of the current ratio of the company are carried out to ensure that there are no going-concern threats to the operation of the fund.

2.2 BASIS OF PREPARATION AND MEASUREMENT

The financial statements for the period ended 31 March 2025 have been prepared in accordance with International Financial Reporting Standards (IFRS) and interpretations issued by the IASB.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires that Fund managers exercise judgment in the process of applying accounting policies. Changes in assumptions may have a significant impact on the financial statements in the year the assumptions change. The Managers believe that the underlying assumptions are appropriate and that the financial statements therefore fairly present the financial position and results. Areas involving a higher degree of judgment or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in the notes to the financial statements.

2.2.1 BASIS OF MEASUREMENT

The financial statements for the period ended 31 March 2025 have been prepared on the historical cost basis except for the following item in the statement of financial position.

- Financial instruments at fair value through profit or loss are measured at fair value
- Financial instruments at amortized cost are measured at amortized cost
- Financial instruments at fair value through other comprehensive income are measured at fair value through equity

The Fund manager applies accrual accounting for the recognition of its income and expenses.

The financial statements are presented and rounded to the nearest thousands of Naira.

3. **Revenue recognition**

Revenue represents income that arises in the ordinary course of the business of the fund to include trading income, dividend income and interest income. Revenue is recognised at a point in time when the performance obligation has been satisfied and the amount of revenue can be measured reliably. Revenue is recognized in the period in which the service is rendered. Revenue of the fund consists of:

i. **Trading income**

Trading income from financial assets is recognized when it is probable that economic benefit will flow to the business and the amount of income can be measured reliably. Investment income is accrued on a timely basis by reference to the principal outstanding and at the effective interest rate applicable .

ii. **Dividend income**

Dividend income is recognized when the right to receive income is established by way of corporate action pronouncements by the organization in which the entity has equity investments.

4) FINANCIAL RISK MANAGEMENT

The Fund's activities expose it to a variety of financial risk (price risk), credit risk and liquidity risk. The Fund's overall management programme seeks to maximise the returns derived for for the level of risk to which the fund is exposed and seeks to minimise potential adverse effects on the Fund's Financial Performance.All securities investments present a risk of loss of capital.The maximum loss of capital on equity securities is limited to the fair value of those positions. The management of these risks is carried out by the investment manager under policies approved by the Board of Directors. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as interest rate risk, credit risk and the investment of excess liquidity.
The Fund uses different methods to measure and manage the various types of risk to which it is exposed: these methods are explained below.

4.1) CREDIT RISK

The Fund is exposed to credit risk, which is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. The main concentration to which the fund is exposed arises from the fund's investment in equity securities. The Fund is alsoexposed to counterparty credit risk on cash and cash equivalents and other receivable balances.
The Fund's policy is to invest in debt securities with better credit rating as designated by well known rating agencies. All transactions in listed securities are settled/paid for upon delivery using approved brokers. The risk of default is considered minimal as delivery of securities sold is only made once the broker has received payment. Payment is made on purchase once the securities have been received by the broker. The trade will fail if either party fails to meet its obligation.
In accordance with the fund's policy, the investment manager monitors the fund's credit position on a daily basis; the Board od Directors reviews it on a quarterly basis.

MAXIMUM EXPOSURE TO CREDIT RISK

The maximum exposure to credit risk before any credit enhancement at 31 March is carrying amount of the financial asset as set out below.

	Mar-25	Mar-24
	N'000	N'000
Cash	3,826	10,868
Financial Assets	1,669,330	1,517,334
Other Assets	13,509	11,502
Equity investments at fair value profit/loss	901,606	422,236
	2,588,272	1,961,940

None of these assets is impaired not past due but not impaired.

4.1.1) MARKET RISK

Market risk is defined as the exposure to loss due to an adverse change in the market value of financial instruments caused by a change in market prices or rates. Market risk exposures are split between those arising from client activities and those generated from proprietary holdings. Overall responsibility for market risk lies with the Fund manager who actively manges the market risks that may arise in line with the fund's policy.

4.1.2) INTEREST RISK

Interest rate risk Is the exposure of the fund's financial condition to adverse movements in interest rates which are likely to affect the Fund's earnings and capital base. This includes any opportunity cost that might arise if the fund were to fix interest rates on its assets and/or liabilities in a falling or rising interest rate environment.

4.2 PRICE RISK

The fund is exposed to equity securities price risk. This arises from instruments held by the fund for which prices in the future are uncertain. Where non-monetary financial instruments for example ,equity securities are denominated in foreign currencies other than Naira, the price initially expressed in foreign currency and then converted into naira will also fluctuate because of changes in foreign exchange rates.

The Fund's policy is to manage price risk through diversification and selection of securities and other financial instruments within specified limits set by the Board of Directors. The majority of the Fund's equity instruments are publicly traded on the floor of the Nigerian Stock Exchange .The Fund's policy requires that the overall market position is monitored on a daily basis by the Fund's Investment Manager and is reviewed quarterly by the Board of Directors.

Compliance with the Fund's investment policies are reported to the Board of Directors on a monthly basis.

REPRICING PERIOD

All in thousands of naira

		Maturity Profile
	Carrying amount	0-6 months
At 31 March, 2025		
Cash and Cash Equivalent	3,826	3,826
Financial Assets	1,669,330	1,669,330
Other Assets	11,502	11,502
Equity Investments at FVPL	422,236	422,236
	2,106,895	2,106,895
FINANCIAL LIABILITIES		
Payables	783,807	783,807
	783,807	783,807
Repricing Gap (Assets-Liabilities)	1,323,088	1,323,088
At 31 March,2024		
Cash and Cash Equivalent	10,868	2,990
Financial Assets	1,517,334	1,180,486
Other Assets	11,502	1,699
Equity Investments at FVPL	422,236	302,096
	1,961,940	1,487,271
Financial Liabilities		
Payables	539,271	539,271
	539,271	539,271
Repricing Gap (Assets-Liabilities)	1,422,669	948,000

4.2.1) LIQUIDITY RISK

Liquidity risk is the risk that the fund may not be able to generate sufficient cash resources to settle its obligations in full as they fall due or can only do so on terms that are materially disadvantageous.

The Fund's policy is to invest majority of its assets in instruments that are traded in an active market and can be readily disposed. The Fund's Listed securities are considered readily realisable, as the majority are listed on the Nigerian stock exchange. In accordance with the Fund's policy, the investment Manager monitors the Fund's liquidity position on a daily basis; the Board of Directors reviews it on a quarterly basis.

Gross nominal (undiscounted) maturities of financial asssets and liabilities

All in thousands of naira As at 31, March 2025	Carrying amount	Maturity Profile Nominal cashflow	 0-6 months
Cash and Cash equivalent	3,826	3,826	3,826
Financial Assets	1,669,330	1,669,330	431,079
Other Assets	13,509	13,509	10,735
Equity instruments at FVPL	901,606	901,606	901,606
	2,588,272	2,588,272	1,347,246
Financial Liabilities			
Payables	783,807	783,807	783,807
Gap (Assets-Liabilities)	1,804,466	1,804,466	563,439
Cummulative Liquidity gap	1,804,466	1,804,466	563,439

All in thousands of naira At 31 March, 2024	Carrying amount	Maturity Profile Nominal cashflow	 0-6 months
Cash and Cash equivalent	10,868	10,868	10,868
Financial Assets	1,517,334	1,517,334	1,517,334
Other Assets	11,502	11,502	11,502
Equity investments at FVPL	422,236	422,236	422,236
	1,961,940	1,961,940	1,961,940
Financial Liabilities			
Payables	539,271	539,271	539,271
Gap (assets-liabilities)	1,422,669	1,422,669	1,422,669
Cummulative liquidity gap	1,422,669	1,422,669	1,422,669

4.3) REGULATORY RISK

The Fund is subject to regulations as well as local and International laws.Regulatory risk is defined as the risk to earnings or capital arising from violations of, or non comformance with, laws, rules, regulations, prescribed practices, or ethical standards. The responsibility for regulators risk lies primarily with the Fund manager who enforce Compliance and legal policies to ensure compliance.

5) Cash

	Mar-25 N'000	Mar-24 N'000
Cash at Bank	3,826	10,868
	3,826	10868

6) **Financial Assets**

	Mar-25 N'000	Mar-24 N'000
Money Market Investment	753,791	651,196
Unclaimed Dividends	365,640	299,735
Treasury Bills	549,900	287,320
Bond	-	279,083
	1,669,330	1,517,334

7) **Other Assets**

	Mar-25 N'000	Mar-24 N'000
Interest Receivables - Unclaimed Dividend	990	1,252
Income on Money Market Investment	12,519	10,250
	13,509	11,502

8) **Equity Investment at fair value through Profit or Loss**

	Mar-25 N'000	Mar-24 N'000
Quoted Investment	901,606	422,236
	901,606	422,236

NIGERIA ENERGY SECTOR FUND INVESTMENT AS AT 31 MARCH 2025

	UNIT	MKT PRICE	VALUE
ETERNA	1,318,894	35.85	47,282,350
SEPLAT	75,277	5,700	429,078,900
TOTAL NIG	132,565	679.7	90,104,431
TRANSCORP	145,173	364.9	52,973,628
ARADEL	92,167	500	46,083,500
OANDO PLC	4,882,803	48.35	236,083,525
			901,606,333

9) Payables	Mar-25 N'000	Mar-24 N'000
Accrued Trustees Fees	667	500
Registrar Fees Payable	93	207
Stockbroking Account	9,805	-
SEC supervisory fee payable	1,103	870
Accrued Management Fee	30,418	22,740
Accrued Custodian Fee	2,017	3,759
Accrued Audit Fee	900	863
Other Account Payables	372,173	204,336
Dividend Payables-Unclaimed dividend	126,611	136,111
Interest on Dividend Payable	240,019	169,885
	783,807	539,271

10) Equity	Mar-25 N'000	Mar-24 N'000
a) Unit holders fund		
	745,950	745,950
Issued:		
Balance as at the beginning of the year	745,950	745,950
Subscription during the year	-	-
Redemption during the year	-	-
Balance as at the end of the year	745,950	745,950
No. of notes issued as at 31 March	745,950	745,950
b) Retained Earnings		
Balance as at the beginning of the year	676,719	465,272
Accural no longer required		
Dividend Paid	-	(93,990)
	676,719	371,282
Profit for the year	381,796	305,437
Balance as at the end of the year	1,058,515	676,719

The Trust Deed provides for coupon to be paid annually. Coupon payable is computed at 75% of the net income of the fund after tax and is payable exclusively from the net income after tax.

11) Trading Income	Mar-25	Mar-24
	N'000	N'000
Net Profit on Sale of Shares	222,789	162,961
Appreciation on Equity	51,491	50,486
	274,279	213,447

12a) Interest Income	Mar-25	Mar-24
	N'000	N'000
Interest Income on call Placements	-	98,526
Interest Income On Treasury Bills	88,494	6,896
Interest income On Bonds	56,078	6,180
	144,572	111,602

12b) Dividend Income	Mar-25	Mar-24
	N'000	N'000
Dividend Income	25,728	14,607

13) Operating Expenses	Mar-25	Mar-24
	N'000	N'000
Bank charges	12	481
Other Operating Expenses	818	1,518
Management Fees	30,418	22,740
Trustee Fees	667	1,500
Registrars Fees	375	415
Coupon Expenses	-	486
SEC Supervisory	4,030	3,058
Custodian Fee	2,017	1,516
Audit Fees	750	750
NSE Regulatory Fee	-	1,755
Loss on sales of Bond	23,696	-
	62,783	34,219

14) Related parties and other key contracts

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions.

a) Management Fee

The Fund is managed by SCM Capital Asset Management Limited ("The Fund Manager"), an investment management company incorporated in Nigeria and it is responsible for the investment decisions of the Fund.The Fund Manager receives a management fee at an annual rate of 1.5% of the net assets value of the Fund payable quarterly in arrears. Included in other payable at 31 March 2025 is a management fee payable of 30.42million (31 March 2024: N22.74 million)

b) Trustee Fee

The Fund has engaged the services of United Capital Trustees Limited ("The Trustee") as the trustee to the Fund to provide trustee services to the Fund for a fee.
The Trustee's fee for the year ended 31 March 2025 is based on the agreed amount in accordance with the provision of the trust deed . Included in the other payable at 31 March 2025 is a trustee fee payable of N0.67 million (31 March 2024: N0.05 million)

c) Custodian Fee

The Fund has engaged the services of UBA Global Investors Services Limited("The Custodian")
The Custodian fee for the year ended 31 March 2025 is based on 0.025% of the Fund's gross assets value in accordance with the provision of the trust deed. Included in the other payable as at 31 March 2025 is a custodian fee payable of N2.02 million (31 March 2024: N3.76million)

d) Directors

The directors of the Fund Manager who served during the year under review were:

Mallam Garuba Imam	Chairman
Gaventa Otono	Director
Alhassan Gwarzo	Director
Orisakwe Chinedu	Director
Omololu Ajediran	Managing

FIVE-YEAR FINANCIAL SUMMARY

For The Year Ended 31st March 2025

ASSETS	2025 N'000	2024 N'000	2023 N'000	2022 N'000	2021 N'000
Cash & Cash Equivalents	3,826	10868	2,990.00	305	880
Financial Assets	1,669,330	1,517,334	1,180,486.00	1,266,545.00	993,191
Equity investment at fair value through profit or loss	901,606	422,236	302,096	171,989	285,079
Other Assets	13,509	11,502	1699	3,861	39,453
Total assets	2,588,272	1,961,940	1,487,271	1,442,700	1,318,603
Liabilities					
Other liabilities					
Payables	783,807	539,271	276,048	243,816	285,266
	783,807	539,271	276,048	243,816	285,266
Equity					
Unit holder's fund	745,950	745,950	745,950	745,950	745,950
Retained earnings	1,058,515	676,719	465,272	452,933	287,387
	2,588,272	1,961,940	1,487,270	1,442,699	1,318,603
PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME					
Profit/(loss) after tax	381,796	305,437	125,723	151,365	5,797
Earnings/(loss) per share	512	409	169	203	7.77
Coupon per share	TBD	307	136	75	7